UMEME LIMITED
INTERIM CONDENSED FINANCIAL STATEMENTS
(UNAUDITED)

FOR THE SIX-MONTH PERIOD ENDED
30 JUNE 2021

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Abbreviation	In full
CWIP	Capital Work-in-Progress
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortisation
ECL	Expected Credit Losses
ECP	Electricity Connection Policy
EPS	Earnings Per Share
ERA	Electricity Regulatory Authority
DFCU	DFCU Bank Limited
DFI	Development Finance Institutions
GOU	Government of Uganda
GOU-TOU	Government of Uganda Time of Use
IAS	International Accounting Standard
ITA	Income Tax Act
IFRIC	International Financial Reporting Interpretations Committee
IFRS	International Financial Reporting Standard
IVA	Independent Verification Agency
LAA	Lease and Assignment Agreement
No.	Number
NRCC	Non-Refundable Capital Contributions
NSE	Nairobi Securities Exchange
OBA	Output Based Aid
REA	Rural Electrification Agency
SCB	Standard Chartered Bank
SIC	Standards Interpretations Committee
UEDCL	Uganda Electricity Distribution Company Limited
UETCL	Uganda Electricity Transmission Company Limited
URA	Uganda Revenue Authority
USD	United States Dollars
USE	Uganda Securities Exchange
Ushs	Uganda Shillings
WACC	Weighted Average Cost of Capital

UMEME LIMITED
STATEMENT OF DIRECTORS' RESPONSIBILITIES
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

The Uganda Securities Exchange Rules, 2003 require the directors to prepare interim financial reports for the first six months of a financial year, which show the state of the financial affairs of Umeme Limited (the "Company") as at the end of the six-month period and of its operating results for that period.

The directors are ultimately responsible for the internal control of the Company. The directors delegate responsibility for internal control to management. Standards and systems of internal control are designed and implemented by management to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of the Company's assets. Appropriate accounting policies supported by reasonable and prudent judgements and estimates are applied on a consistent basis and using the going concern basis. These systems and controls include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties.

The directors accept responsibility for the interim condensed financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with IAS 34 *Interim Financial Reporting*. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of interim condensed financial statements, as well as maintenance of adequate systems of internal financial control.

The directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. In addition, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern for the next twelve months from the date of this statement.

The interim condensed financial statements were approved by the Board of Directors on 20 August 2021 and signed on its behalf by:

…………………………	…………………………
Director	**Director**

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REPORT ON REVIEW OF INTERIM CONDENSED FINANCIAL STATEMENTS TO THE DIRECTORS OF UMEME LIMITED

INTRODUCTION

We have reviewed the accompanying interim condensed statement of financial position of Umeme Limited (the ''Company'') as at 30 June 2021, and the related interim condensed statements of profit or loss, comprehensive income, changes in equity and cash flows for the six-month period then ended, and notes to the interim condensed financial statements, which include a summary of significant accounting policies and other explanatory notes as set out on pages 3 to 34. The directors are responsible for the preparation and presentation of this interim condensed financial information in accordance with International Accounting Standard (IAS) 34 *Interim Financial Reporting*. Our responsibility is to express a conclusion on this interim condensed financial information based on our review.

SCOPE OF REVIEW

We conducted our review in accordance with International Standard on Review Engagements 2410, *"Review of Interim Financial Information Performed by the Independent Auditor of the Entity''*. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

CONCLUSION

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed financial information is not prepared, in all material respects, in accordance with International Accounting Standard (IAS) 34, *Interim Financial Reporting*.

Ernst & Young

Ernst & Young
Certified Public Accountants
Kampala, Uganda

21 August 2021

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF PROFIT OR LOSS
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

	Note	Unaudited 6 months ended 30 June 2021 Ushs million	Unaudited 6 months ended 30 June 2020 Ushs million
Revenue from contracts with customers	3	927,862	848,823
Cost of sales	4	(629,304)	(616,764)
GROSS PROFIT		**298,558**	**232,059**
Repair and maintenance expenses		(29,226)	(21,582)
Administration expenses	5	(93,905)	(88,161)
Foreign exchange losses		(13,295)	(4,849)
Increase in expected credit losses		(1,684)	(997)
OPERATING PROFIT BEFORE AMORTISATION, IMPAIRMENT, INTEREST AND TAX		**160,448**	**116,470**
Amortisation and write-off of intangible assets	**10**	(78,071)	(67,224)
OPERATING PROFIT		**82,377**	**49,246**
Finance income	6	9,829	9,724
Finance costs	7	(22,605)	(26,712)
PROFIT BEFORE TAX		**69,601**	**32,258**
Income tax charge	8	(21,358)	(10,491)
PROFIT FOR THE PERIOD		**48,243**	**21,767**
		Ushs	**Ushs**
BASIC AND DILUTED EARNINGS PER SHARE	**9**	**29.7**	**13.4**

The notes on pages 8 to 34 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF COMPREHENSIVE INCOME
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

	Unaudited 6 months ended 30 June 2021 Ushs million	Unaudited 6 months ended 30 June 2020 Ushs million
Profit for the period	**48,243**	**21,767**
Other comprehensive income that may be reclassified to profit or loss in subsequent periods (net of tax):		
Exchange differences on translation from functional currency	(25,813)	17,852
Total comprehensive income for the period, net of tax	**22,430**	**39,619**

The notes on pages 8 to 34 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2021

	Note	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
ASSETS			
Non-current assets			
Intangible assets	10	691,781	787,665
Other financial asset: Buy out amount	11	1,047,872	1,016,856
Concession financial asset	12	322,416	329,283
		2,062,069	**2,133,804**
Current assets			
Inventories		91,824	102,600
Current income tax recoverable	8	31,929	41,137
Contract assets	13	37,847	91,433
Trade and other receivables	14	214,676	218,402
Prepayments		30,110	47,642
Bank balances	15	43,867	30,022
		450,253	**531,236**
TOTAL ASSETS		**2,512,322**	**2,665,040**
EQUITY AND LIABILITIES			
Equity			
Issued capital		27,748	27,748
Share premium		70,292	70,292
Retained earnings		550,412	521,980
Translation reserve		157,373	183,186
		805,825	**803,206**
Non-current liabilities			
Borrowings: non-current portion	16	250,471	341,464
Concession financial obligation	17	322,416	329,283
Long term incentive plan		57	58
Deferred tax liability	8	227,463	215,313
		800,407	**886,118**
Current liabilities			
Borrowings: current portion	16	171,244	175,640
Customer security deposits		484	496
Contract liabilities	18	99,768	139,866
Accrued expenses		47,546	53,931
Provisions		1,278	1,311
Trade and other payables	19	513,798	522,457
Bank overdrafts	20	71,972	82,015
		906,090	**975,716**
TOTAL EQUITY AND LIABILITIES		**2,512,322**	**2,665,040**

The interim condensed financial statements were approved by the Board of Directors on.....20 August 2021 and signed on its behalf by:

....
Director

....
Director

The notes on pages 8 to 34 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF CHANGES IN EQUITY
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

	Issued capital Ushs million	**Share premium Ushs million**	**Retained earnings Ushs million**	**Translation reserve Ushs million**	**Total equity Ushs million**
At 1 January 2020	27,748	70,292	546,030	189,450	833,520
Profit for the period	-	-	21,767	-	21,767
Other comprehensive income, net of tax	-	-	-	17,852	17,852
Total other comprehensive income, net of tax	-	-	21,767	17,852	39,619
At 30 June 2020 – unaudited	**27,748**	**70,292**	**567,797**	**207,302**	**873,139**
At 1 January 2021	27,748	70,292	521,980	183,186	803,206
Profit for the period	-	-	48,243	-	48,243
Other comprehensive loss, net of tax	-	-	-	(25,813)	(25,813)
Total other comprehensive income, net of tax	-	-	48,243	(25,813)	22,430
Dividend declared	-	-	(19,811)	-	(19,811)
At 30 June 2021 – unaudited	**27,748**	**70,292**	**550,412**	**157,373**	**805,825**

The translation reserve comprises the translation differences arising from the translation of the financial statements from the Company's functional currency to the presentation currency.

The notes on pages 8 to 34 are an integral part of the interim condensed financial statements.

UMEME LIMITED
INTERIM CONDENSED STATEMENT OF CASH FLOWS
FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

	Note	6 months ended 30 June 2021 Unaudited Ushs million	30 June 2020 Ushs million
Profit before tax		69,601	32,258
Adjustment for non-cash items:			
Interest on bank deposits	6	(94)	(375)
Finance income on other financial asset	6	(8,334)	(7,419)
Finance income on concession financial asset	6	(1,401)	(1,930)
Finance cost on concession obligation	7	1,401	1,930
Other financing costs	7	4,025	2,361
Amortisation of intangible assets	10	71,686	64,552
Write off and disposal of intangible assets	10	6,385	2,672
Expected credit losses on trade and other receivables		1,684	997
Interest expense on long and short term borrowings[1]		13,844	20,214
Amortisation of deferred transaction costs		3,236	2,124
Cash flows before working capital changes		**162,033**	**117,384**
Changes in working capital items:			
Decrease/(increase) in inventories		10,776	(22,331)
Decrease/(increase) in contract assets		53,586	(18,407)
Decrease/(increase) in trade and other receivables		2,042	(27,606)
Decrease/(increase) in prepayments		17,532	(58,183)
(Decrease)/increase in contract liabilities		(40,098)	9,985
Decrease in accrued expenses		(6,385)	(1,951)
(Decrease)/increase in trade and other payables		(28,470)	50,225
Cash generated from operating activities		**171,016**	**49,116**
Interest received from banks		94	375
Long and short-term borrowings interest paid		(13,578)	(21,957)
Other financing costs paid		(4,025)	(2,361)
Borrowing transaction costs paid		-	(1,057)
Net cash flows from operating activities		**153,507**	**24,116**
Investing activities			
Purchase of intangible assets[1]		(49,639)	(77,740)
Net cash flows used in investing activities		**(49,639)**	**(77,740)**
Financing activities			
Repayment of principal on long term borrowing facilities		(85,647)	(28,165)
Repayment of principal on short term borrowing facilities		-	(36,650)
Net cash flows used in financing activities		**(85,647)**	**(64,815)**
Net increase/(decrease) in cash and cash equivalents		**18,221**	**(118,439)**
Cash and cash equivalents at 1 January		(52,489)	52,364
Translation differences		5,679	(1,628)
Cash and cash equivalents at 30 June	**22**	**(28,589)**	**(67,703)**

The notes on pages 8 to 34 comprise an integral part of the interim condensed financial statements.

[1] 2020 balance excludes capitalised borrowing costs of Ushs 187 million.

1. COMPANY INFORMATION AND GOING CONCERN

1.1 Company information

Umeme Limited (the ''Company'') is a public limited liability company incorporated in Uganda under the Companies Act, 2012 of Uganda, and licensed by Electricity Regulatory Authority (ERA) under License No. 047 and No. 48 to carry on business of electricity distribution and supply under the provisions of the Electricity Act 1999, (Cap 145). The Company's business operations are generally evenly distributed over the period.

The Company's shares are publicly traded on the Uganda Securities Exchange (USE) and cross-listed on the Nairobi Securities Exchange (NSE).

The interim condensed financial statements of the Company for the six-months ended 30 June 2021 were authorised for issue in accordance with a resolution of the directors on ….……20 August……2021.

1.2 Going concern

The Company's directors have made an assessment of the Company's ability to continue as a going concern and are satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the directors are not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the interim condensed financial statements have been prepared on the going concern basis.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

a) Basis of preparation

The interim condensed financial statements for the six months ended 30 June 2020 have been prepared in accordance with IAS 34 *Interim Financial Reporting*. The interim condensed financial statements do not include all the information and disclosures required in audited annual financial statements and should be read in conjunction with the Company's audited annual financial statements for the year ended 31 December 2020. The explanatory notes disclose the events and transactions that update the relevant information presented in the 2020 audited annual financial statements including:

- The nature and amount of items affecting the Company's financial position, performance and cash flows that are unusual because of their nature, size or incidence.
- The nature and amount of changes in accounting policies and methods and estimates used in the preparation of the financial statements, and status of long-term contracts.
- Events subsequent to the end of the most recent annual reporting period, 31 December 2020, that have a material effect on the interim condensed financial statements.
- Issues and repayments of debt and equity securities.
- Dividends paid for ordinary shares**.**

Balances disclosed relating to the year ended 31 December 2020 are audited while balances relating to 30 June 2021 and 30 June 2020 are unaudited.

Functional currency

The Company's functional currency is United States Dollars (USD), which is the currency of the primary economic environment in which the Company operates.

Presentation currency

The Company's financial statements are presented in Uganda Shillings (Ushs) to meet the expectations of most of the primary users of the financial statements since Ushs is the currency of the country in which the Company operates.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

b) Use of judgements and estimates

In preparing these interim condensed financial statements, management has made judgements and estimates that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates. The significant judgements made by management in applying the Company's accounting policies and the key sources of estimation uncertainty were the same as those described in the latest audited annual financial statements.

Refer to Note 31 for disclosures on judgements relating to the Covid-19 pandemic.

c) Fair value measurement

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximizing the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the interim condensed financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest-level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 — Valuation techniques for which the lowest-level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 — Valuation techniques for which the lowest-level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

d) Segment information

The Company is organised into one single business unit for management purposes. Management monitors the operating results of the business as a single unit for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which is measured the same as the operating profit or loss in the financial statements. There were no changes to this during the period.

All the Company's revenue is generated from external customers domiciled in Uganda and no single external customer contributes revenue amounting up to 10% of the Company's revenue. All the Company's assets are located in Uganda.

e) New and amended standards and interpretations

The accounting policies adopted in the preparation of the interim condensed financial statements are consistent with those applied in the preparation of the Company's latest audited annual financial statements for the year ended 31 December 2020 , except for the adoption of new standards effective as of 1 January 2021. The Company has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Several amendments apply for the first time in 2021, but do not have an impact on the interim condensed financial statements of the Company.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

e) New and amended standards and interpretations (Continued)

Interest Rate Benchmark Reform – Phase 2: Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16

The amendments provide temporary reliefs which address the financial reporting effects when an Interbank Offered Rate (IBOR) is replaced with an alternative nearly Risk-free Interest Rate (RFR).

The amendments include the following practical expedients:

- A practical expedient to require contractual changes, or changes to cash flows that are directly required by the reform, to be treated as changes to a floating interest rate, equivalent to a movement in a market rate of interest
- Permit changes required by IBOR reform to be made to hedge designations and hedge documentation without the hedging relationship being discontinued
- Provide temporary relief to entities from having to meet the separately identifiable requirement when an RFR instrument is designated as a hedge of a risk component.

These amendments had no impact on the interim condensed consolidated financial statements of the Company. The Company intends to use the practical expedients in future periods if they become applicable.

3. REVENUE FROM CONTRACTS WITH CUSTOMERS

The Company's revenue streams are consistent with those described in the latest audited annual financial statements. Revenue is derived from contracts with customers. The Company's primary geographical market is Uganda.

The Company recognises revenue from sale of electricity and from provision of construction services over time, using an input method to measure progress towards complete satisfaction of the service, because the customer simultaneously receives and consumes the benefits provided by the Company. Revenue from sale of goods is recognized at the point in time when control of the goods is transferred to the customer, generally on delivery of the goods. Revenue from sale of electricity including lifeline surcharge revenue is recognised based on the end user tariffs set by ERA.

Changes in prices charged to customers arise through changing tariffs over the contract term through the quarterly price changes made by ERA, and pricing by time of day, that is, peak, shoulder and off-peak. The pricing by time of day reflects the value of electricity that the customer consumes during the different time segments during the day. In line with the IFRS 15 practical expedients, the Company has assessed that the tariff adjustments are not variable considerations but rather a reflection of the value of providing electricity units during the tariff period. Moreover, the changes in tariffs are accounted for in the same reporting period.

Capital contributions received from the customers by Umeme from which construction revenue is derived represent advance payments by customers for construction services.

3. REVENUE FROM CONTRACTS WITH CUSTOMERS (Continued)

The Company's revenue is disaggregated by tariff code of billing and nature as follows:

		Unaudited	Unaudited
		6 months ended	
Amounts billed by customer category	**Notes**	**30 June 2021 Ushs million**	**30 June 2020 Ushs million**
Domestic		244,935	233,961
Commercial		118,507	105,903
Medium industrial		150,615	145,921
Street lighting		341	292
Large industrial		177,911	158,005
Extra large		156,910	134,017
Total amount billed to customers		**849,219**	**778,099**
Add: Utilisation of growth factor amounts [Note 18(c)]	(a)	54,445	-
Less: Amounts collected from customers which are not revenue for the period:			
Growth factor amounts	(a)	-	(1,255)
		903,664	**776,844**
Other revenue streams:			
Construction revenue - Construction of assets	(b)	21,429	1,690
Construction revenue - ECP	(c)	-	67,880
		21,429	**69,570**
Other regulated income:			
Reconnection fees		87	442
Inspection fees		2,036	1,611
		2,123	**2,053**
Non-regulated income:			
Sale of scrap and other income		-	15
Fines and other income		646	341
		646	**356**
Total revenue from contracts with customers		**927,862**	**848,823**

(a) Modification Number Five to Umeme's Electricity Supply Licence No.048 requires that the Growth Factor (Hvey) revenues arising from actual total energy purchases being higher than the total energy purchases used in determining the year-on-year tariffs should be deployed towards investment in the Distribution Network or for other purposes in a manner approved by ERA, and that the amounts should be used to leverage grant or other counterpart financing applied towards investment in the Distribution Network. The Company is not entitled to a Return on Investment on the investments implemented using the Growth Factor amounts in line with similar terms for projects funded using concessionary financing but will earn a one-off management fee.

Ushs 54,445 million of the growth factor amounts was utilised during the period to offset the deficit resulting from the amounts billed to customers by the Company As such, this amount has been added to revenue. For the sixth-month period ended 30 June 2020, Ushs 1,255 million was determined as the net excess amount billed to customers by the Company through growth, and as such, in line with Amendment No. 5, this amount was ring fenced for future investment in the Distribution Network or utilisation as approved by ERA.

(b) The Company provides construction services relating to the upgrading and expansion of the Distribution Network in accordance with the concession agreements. The expenses that are incurred on the assets additions funded by direct cash contributions paid by customers are recognised in profit or loss as construction cost of sales and the amounts paid by the customers for the construction services (''non-refundable capital contributions'' or ''NRCC'') are recognised as construction revenue when utilized. The costs incurred on the upgrading and expansion additions funded by the Company are offset from the related construction revenue as this reflects the substance and legal form of the transactions.

3. REVENUE FROM CONTRACTS WITH CUSTOMERS (Continued)

(c) Under the Electricity Connections Policy (ECP), the Company was engaged by the Rural Electrification Agency (REA) to provide construction services regarding connection of no-pole and one-pole electricity connections. The agreement for this service entitles the Company to bill REA at specified approved standard cost rates plus a margin of 5%. Billing for the connections constructed is subject to verification and clearance by the IVA. The Company provided no construction services under ECP during the six-month period ended 30 June 2021.

4. COST OF SALES

	Unaudited	Unaudited
	6 months ended	
	30 June 2021 Ushs million	30 June 2020 Ushs million
Electricity purchase from UETCL	603,687	544,304
Generation levy	2,544	2,286
Construction costs: construction of assets [Note 3(b)]	21,429	1,690
Construction costs: ECP [Note 3(c)]	1,644	68,484
	629,304	**616,764**

5. ADMINISTRATIVE EXPENSES

Staff and network contractor management costs[1]	53,367	50,482
Transport costs	9,168	7,029
Software support agreements	7,738	4,946
Publicity, advertisement and sms communication	3,630	2,454
ERA licensing fees	1,880	2,848
Operating concession charges - UEDCL	2,788	2,971
Rental expenses	2,138	1,840
Directors' expenses and allowances	1,379	1,319
Other administration costs[2]	5,738	7,198
Consultancy fees	573	2,409
Telephone expenses	3,379	2,975
Debt collection expenses	577	442
Insurance charges	1,550	1,248
	93,905	**88,161**

[1]Staff and network contractor management costs

Salaries and wages	32,975	31,414
National Social Security Fund (NSSF) contributions	3,590	3,192
Other employment related costs	16,802	15,876
	53,367	**50,482**

The other employment related costs include the following amounts:

Employee performance bonus	3,230	2,559
Contractor management fees*	5,880	4,470
Staff medical expenses	1,238	1,697
Travel expenses	1,506	1,589
Retirement benefit scheme	1,310	1,180
	13,164	**11,495**

*Contractor management fees mainly relate to fees paid to contractors that are involved in the repair and maintenance of the distribution network.

[2]The 2021 amount includes Covid related costs of Ushs 166 million (2020: Ushs 943 million).

		Unaudited 6 months ended 30 June 2021 Ushs million	Unaudited 6 months ended 30 June 2020 Ushs million
6. FINANCE INCOME			
Interest on bank deposits		94	375
Finance income on concession financial asset		1,401	1,930
Interest income on other financial asset: Buy out amount		8,334	7,419
		9,829	**9,724**
7. FINANCE COSTS			
Finance costs relating to debt facilities	Notes		
Interest expense on Facility A		3,452	6,291
Interest expense on Facility B		3,677	6,063
Interest expense on Facility C		3,644	3,620
Interest expense on Facility D		3,071	3,046
Capitalisation of borrowing cost	10	-	(187)
Interest on short term borrowings		-	1,381
Amortisation of borrowings transaction costs[1]		3,310	2,181
Other financing costs		4,025	2,361
		21,179	**24,756**
Finance costs relating to other financial liabilities			
Accrued interest on customer security deposits		25	26
Finance charge on concession obligation		1,401	1,930
		1,426	**1,956**
Total finance costs		**22,605**	**26,712**

The other financing costs comprise of the following:

	30 June 2021	30 June 2020
Interest expense on overdraft facilities	4,025	2,117
Late payment interest-UETCL	-	244
	4,025	**2,361**

Refer to Notes 16, 17 and 20 for further disclosures on finance costs.

[1]This relates to deferred costs on the borrowings in Note 16 of Ushs 3,236 million (year ended 31 December 2020: Ushs 4,454 million) and overdraft facilities in Note 20 of Ushs 74 million (year ended 31 December 2020: Ushs 122 million).

8. INCOME TAX

a) Income tax expense

	30 June 2021	30 June 2020
Current income tax charge		
Current income tax charge for the period	9,208	8,580
Current income tax charge - prior periods	-	23
	9,208	**8,603**
Deferred tax charge		
Deferred tax charge for the period	12,178	1,858
Deferred tax charge - prior periods	(28)	30
	12,150	**1,888**
Total income tax charge for the period	**21,358**	**10,491**

8. INCOME TAX (Continued)

The reconciliation between the income tax expense and the product of accounting profit and the tax rate is as follows:

	Unaudited 6 months ended 30 June 2021 Ushs million	Unaudited 6 months ended 30 June 2020 Ushs million
Profit before tax	69,601	32,258
Tax at the statutory tax rate of 30%	20,880	9,677
Expenses not allowed for tax purposes	506	761
Current tax prior period adjustment	-	23
Deferred tax prior period adjustment	(28)	30
Income tax charge	**21,358**	**10,491**

The movement in the current income tax recoverable was as follows:

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
b) Current income tax recoverable		
At 1 January	(41,137)	(11,077)
Charge for the period/year	9,208	22
Paid during the period/year	-	(30,082)
Closing balance	**(31,929)**	**(41,137)**

c) Deferred tax liability

	Closing balance Ushs million	Charge/(credit) to profit or loss: Current year Ushs million	Charge/(credit) to profit or loss: Prior year Ushs million	Opening balance Ushs million
At 30 June 2021				
Accelerated depreciation of assets	244,464	3,261	-	241,203
Provision for expected credit losses	(14,138)	(155)	-	(13,983)
Other provisions	(949)	2,790	(28)	(3,711)
Unrealised foreign exchange losses	(1,914)	1,706	-	(3,620)
Current income tax losses	-	4,576	-	(4,576)
	227,463	**12,178**	**(28)**	**215,313**

	Closing balance Ushs million	Charge/(credit) to profit or loss: Profit or loss Ushs million	Charge/(credit) to profit or loss: Prior year Ushs million	Opening balance Ushs million
At 31 December 2020				
Accelerated depreciation of assets	241,203	28,532	-	212,671
Provision for expected credit losses	(13,983)	(1,118)	29	(12,894)
Other provisions	(3,711)	467	-	(4,178)
Unrealised foreign exchange losses	(3,620)	(3,476)	-	(144)
Current income tax losses	(4,576)	(4,576)	-	-
	215,313	**19,829**	**29**	**195,455**

9. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share are calculated by dividing the profit attributable to shareholders by the basic and diluted weighted average number of ordinary shares in issue during the period respectively.

	Unaudited 6 months ended 30 June 2021	Unaudited 6 months ended 30 June 2020
Profit attributable to shareholders (Ushs million)	48,241	21,767
Opening basic weighted average number of ordinary shares (million)	1,624	1,624
Diluting shares	-	-
Basic and diluted weighted average number of ordinary shares (million)	1,624	1,624
Basic and diluted earnings per share (Ushs)	**29.7**	**13.4**

10. INTANGIBLE ASSETS

	GOU support & assurances rights Ushs million	Other concession rights Ushs million	Total Ushs million
Cost			
At 1 January 2020	**3,576**	**1,446,712**	**1,450,288**
Additions	-	278,744	278,744
Disposals and write offs	-	(20,975)	(20,975)
Transfer to buy out amount (Note 11)	-	(154,419)	(154,419)
Translation differences	(20)	(9,829)	(9,849)
At 31 December 2020	**3,556**	**1,540,233**	**1,543,789**
Additions	-	49,639	49,639
Disposals and write offs		(10,835)	(10,835)
Transfer to buy out amount (Note 11)	-	(49,251)	(49,251)
Translation differences	(89)	(38,343)	(38,432)
At 30 June 2021	**3,467**	**1,491,443**	**1,494,910**
Amortisation			
At 1 January 2020	**(2,419)**	**(639,238)**	**(641,657)**
Charge for the year	(123)	(130,197)	(130,320)
Disposals and write offs	-	10,020	10,020
Translation differences	(2)	5,835	5,833
At 31 December 2020	**(2,544)**	**(753,580)**	**(756,124)**
Charge for the period	(62)	(71,624)	(71,686)
Disposals and write offs	-	4,450	4,450
Translation differences	58	20,173	20,231
At 30 June 2021	**(2,548)**	**(800,581)**	**(803,129)**
Net carrying amount			
At 30 June 2021	**919**	**690,862**	**691,781**
At 31 December 2020	**1,012**	**786,653**	**787,665**

GOU support and assurances rights

The Distribution Support Agreement of the Lease and Assignment Agreement between Government of Uganda (GOU) and the Company required Umeme to pay a transaction fee of USD 1.4 million to the GOU Privatisation Unit as consideration for the rights and assurances granted by GOU to Umeme. These rights and assurances are specified in Article IV of the Distribution Support Agreement and include, among others, support for obligations, security protection, obtaining of agency loans, expeditious clearance of imported equipment and notice and opportunity to be heard. The transaction fees were capitalised and are being amortised over the concession period of 20 years.

10. INTANGIBLE ASSETS (Continued)

Other concession rights

The concession agreements do not convey to the Company the right to control the use of the investments in the distribution network but rather the right to operate and use the assets and charge customers. Accordingly, in line with IFRIC 12, the assets added to the distribution network are not recognised as property, plant and equipment. An intangible asset equal to the carrying value of the assets added to the distribution network by the Company, less the residual amount (buy out amount) is recognised and is amortised over the useful lives of the underlying property, plant and equipment.

Capitalised borrowing costs

Funding used to construct qualifying assets is financed out of borrowings. The capitalisation rate applied is the weighted average of the borrowing costs applicable to qualifying capital expenditure. The weighted average capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation was 0% (2019: 0.7%) and the amount of borrowing costs capitalised during the period was Nil (2019: Ushs 187 million).

Amortisation and write-off charged to profit or loss

	Unaudited	Unaudited
	6 months ended	
	30 June 2021 Ushs million	30 June 2020 Ushs million
Amortisation charge	71,686	64,552
Write off of intangible assets	6,385	2,672
	78,071	**67,224**

11. OTHER FINANCIAL ASSET: BUY OUT AMOUNT

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	1,017,212	855,497
Transfer from intangible asset (Note 10)	49,251	154,419
Finance income accrued	8,334	14,883
Translation differences	(26,569)	(7,587)
At the end of period/year	**1,048,228**	**1,017,212**
Expected credit losses	**(356)**	(356)
	1,047,872	**1,016,856**

The buy out amount is computed as the gross accumulated capital investments less the cumulative capital recovery charges expected to be allowed in the tariffs by the time of transferring the Distribution Network to UEDCL and discounted over the remaining concession period using the pre-tax return on investment of 28.6% (2020: 28.6%), for investments verified and approved by ERA, and 5.14% (2020: 5.14%) for investments not approved by ERA for recovery through the tariff methodology. Annual capital recovery charges are computed as the product of the gross total accumulated investments and weighted average depreciation rate.

The buyout amount is contractually denominated in USD. The present value, excluding the impact amortisation, of transfers from intangible assets expected to be recovered as part of the buyout amount at 30 June 2020 amounted to USD 235 million. The USD balances have been translated to Uganda shillings at the reporting date spot exchange rate of Ushs 3,559.1 (2018: Ushs 3,735.3).

As at 30 June 2021, the estimated weighted average depreciation rate was 10.2% (2020: 10.2%) and it is hence estimated that capital investments amounting to Ushs 1,047,872 million (USD 294 million) [2020: Ushs 1,016,856 million (USD 279 million)] as of that date will not have been recovered through the tariff at the end of the concession.

The buy out amount shall be paid in cash with a 5% return and hence the amounts receivable are accounted for as a financial asset.

The Company's rights, title and interest under the buy out amount are pledged as collateral for the term borrowing facilities as disclosed in Note 16.

12. CONCESSION FINANCIAL ASSET

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	329,283	327,570
Financing income for the period/year	1,401	3,549
Foreign exchange loss	(8,268)	(1,836)
At the end of period/year	**322,416**	**329,283**
Maturity analysis of the financial asset:		
Outstanding financial asset	322,416	329,283
Less: Amount recoverable within one year	-	-
Non-current portion of financial asset	**322,416**	**329,283**
The financial asset is recoverable as analysed below:		
Within one year	-	-
Between one and two years	307,621	309,136
Between two and three years	10,279	10,144
Between three and four years	4,516	10,003
	322,416	**329,283**

The terms of the Lease and Assignment Agreement (LAA) stipulate that the Company has an unconditional right to receive from the users of the Distribution Network, through the tariff methodology, cash relating to the concession rental payments made to UEDCL.

No concession rental payments have been made to UEDCL regarding the concession obligation since the year ended 31 December 2012 and no recoveries of the same have been made during these years since ERA excluded the concession rental payments from the tariffs for the years.

UEDCL bears the risk that the cash flows generated from the users of the Distribution Network using the tariff approved by ERA will not be sufficient to recover the concession rental amounts paid by the Company to UEDCL. The Company's cash flows relating to the concession rentals paid are effectively secured, which results in a financial asset as the consideration receivable. The service concession arrangement is subject to a grantor (UEDCL) guarantee and payments made by the users are effectively regarded as cash collected on behalf of the grantor and this gives rise to a financial asset for the commitment made by the grantor.

No amount receivable within one year has been presented since the debt service component was not included in the approved base tariffs for the subsequent year.

Refer to Note 17 for further disclosures.

13. CONTRACT ASSETS

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
(a) Amounts recoverable from customer capital contributions		
At 1 January	7,104	4,867
Additions to customer funded installations	20,478	7,086
Amounts billed to customers	(21,520)	(4,778)
Translation difference	593	(71)
At end of period/year	**6,655**	**7,104**
b) ECP amounts recoverable from REA		
At 1 January	84,329	80,348
Costs incurred during the period/year	1,553	56,711
Less: Billed during the period/year	(51,948)	(47,372)
Excess costs above standard billing rates	(1,644)	(4,837)
Translation differences	(1,098)	(521)
At end of period/year	**31,192**	**84,329**
Total contract assets	**37,847**	**91,433**

Amounts recoverable from customer capital contributions relate to the costs incurred by the Company on commercial schemes in excess of the capital contributions made by the customers. The Company has contractual and legal rights to recover the excess costs from the customers.

The ECP amounts not yet verified relate to costs incurred by the Company on no pole and one pole connections for which verification by the IVA had not been completed by period-end. The amount relates to costs incurred on connections not completed or connections pending verification and clearance by the IVA. After verification and clearance by the IVA, the amounts are billed to and reimbursed by REA. The ECP project commenced in November 2018.

14. TRADE AND OTHER RECEIVABLES

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
Trade receivables	215,100	225,162
Less: Expected credit losses	(43,944)	(45,072)
Net trade receivables	**171,156**	**180,090**
Other receivables	8,990	2,157
Ministry of Energy - Peri Urban Development Project	2,306	2,365
REA – ECP receivables	33,964	33,883
Less: Allowance for expected credit losses	(1,740)	(93)
	43,520	**38,312**
Trade and other receivables	**214,676**	**218,402**

Other receivables comprise staff salary advances and work accountable advances.

Trade receivables are non-interest bearing and are generally on 14-30 days' terms.

14. TRADE AND OTHER RECEIVABLES (Continued)

The carrying amount of trade and other receivables approximates the fair values due to the short-term nature of the financial assets.

The movement in expected credit losses was as shown below:

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	45,072	41,440
Allowance for ECLs for the period/year	-	7,619
Less: Bad debts written off	-	(3,850)
Translation differences	(1,128)	(137)
At end of period/year	**43,944**	**45,072**

Bad debts are written off after the Company's debt collectors have performed the debt collection procedures and processes as agreed upon with URA and certifying that the chances of recovering the debts are remote. As at period/year-end, the ageing analysis of trade receivables was as follows:

Period/year-end	Total	<30 days	30-60 days	>60 days	>90 days (default)
	Ushs million	Ushs million	Ushs million	Ushs million	Ushs million
30 June 2021	215,100	106,485	23,930	40,741	43,944
31 December 2020	225,162	111,746	23,295	45,049	45,072

15. BANK BALANCES

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
Bank balances	**43,867**	**30,022**

The Company holds no collateral in respect to the bank balances. Bank balances are short-term deposits made for varying periods depending on the cash requirements of the Company and earn interest at the applicable market deposit rates.

16. BORROWINGS

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
Long term facilities- Facilities A and B	220,374	271,260
Long term facilities- Facilities C and D	207,608	255,530
Less: Deferred transactions costs	(6,267)	(9,686)
	421,715	**517,104**
Less: Current portion		
Facilities A and B	(88,197)	(90,461)
Facilities C and D	(83,047)	(85,179)
Amounts due within one year	**(171,244)**	**(175,640)**
Amounts due after more than one year	**250,471**	**341,464**

16. BORROWINGS (Continued)

(a) Amounts due to lenders

Term loans	Unaudited 30 June 2021 Ushs million			Audited 31 December 2020 Ushs million		
	Facility A	Facility B	Total	Facility A	Facility B	Total
At 1 January	131,313	139,947	271,260	176,089	169,747	345,836
Interest charge	3,452	3,677	7,129	10,534	10,590	21,124
Foreign exchange gains	(3,348)	(3,567)	(6,915)	(450)	(835)	(1,285)
Less: Principal repayment	(21,370)	(22,738)	(44,108)	(44,376)	(29,026)	(73,402)
Less: Interest payment	(3,385)	(3,607)	(6,992)	(10,484)	(10,529)	(21,013)
At period/year end	**106,662**	**113,712**	**220,374**	**131,313**	**139,947**	**271,260**
The amounts due are made up as follows:						
Principal due after one year	63,932	68,245	132,177	87,486	93,313	180,799
Principal due in one year	42,730	45,467	88,197	43,827	46,634	90,461
	106,662	**113,712**	**220,374**	**131,313**	**139,947**	**271,260**

	Unaudited 30 June 2021 Ushs million			Audited 31 December 2020 Ushs million		
	Facility C	Facility D	Total	Facility C	Facility D	Total
At 1 January	138,716	116,814	255,530	101,312	85,318	186,630
Amount received	-	-	-	38,375	32,315	70,690
Interest charge	3,644	3,071	6,715	7,209	6,073	13,282
Foreign exchange gains	(3,533)	(2,979)	(6,512)	(1,023)	(865)	(1,888)
Less: Principal repayment	(22,550)	(18,989)	(41,539)	-	-	-
Less: Interest payment	(3,575)	(3,011)	(6,586)	(7,157)	(6,027)	(13,184)
At period end	**112,702**	**94,906**	**207,608**	**138,716**	**116,814**	**255,530**
The amounts due are made up as follows:						
Principal due after one year	67,619	56,942	124,561	92,476	77,875	170,351
Principal due in one year	45,083	37,964	83,047	46,240	38,939	85,179
	112,702	**94,906**	**207,608**	**138,716**	**116,814**	**255,530**

b) Short term facility – dfcu Bank Limited (DFCU)

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	-	37,525
Interest charge for the period/year	-	1,381
Interest payment	-	(36,650)
Principal repayment	-	(2,966)
Foreign exchange losses	-	710
At period/year end	**-**	-

16. BORROWINGS (Continued)

c) Deferred transaction costs

Term loans	Unaudited 30 June 2021 Ushs million			Audited 31 December 2020 Ushs million		
	Facility A	**Facility B**	**Total**	**Facility A**	**Facility B**	**Total**
At 1 January	1,300	1,851	3,151	1,776	2,541	4,317
Management, security and agency fees	-	-	-	312	360	672
Amortisation for the period/year	(305)	(428)	(733)	(786)	(1,043)	(1,829)
Foreign exchange losses	(27)	(39)	(66)	(2)	(7)	(9)
At period/year end	**968**	**1,384**	**2,352**	**1,300**	**1,851**	**3,151**

	Unaudited 30 June 2021 Ushs million			Audited 31 December 2020 Ushs million		
	Facility C	**Facility D**	**Total**	**Facility C**	**Facility D**	**Total**
At 1 January	3,658	2,877	6,535	4,744	3,996	8,740
Management, security and agency fees	-	-	-	343	78	421
Amortisation for the period/year	(1,458)	(1,045)	(2,503)	(1,426)	(1,199)	(2,625)
Foreign exchange losses	(65)	(52)	(117)	(3)	2	(1)
At period/year end	**2,135**	**1,780**	**3,915**	**3,658**	**2,877**	**6,535**

Term and revolving credit facility agreement

The Company has Term and Revolving Credit Facilities Agreement (the “facilities agreement”) with International Finance Corporation (IFC), Standard Chartered Bank (SCB) and Stanbic Bank Uganda Limited (SBU) as the mandated lead arrangers. Standard Chartered Bank is the overdraft issuer, security agent and the facility agent.

A total amount of USD 235 million was initially committed in 2013. USD 90 million is designated as term Facility A provided by IFC and USD 125 million as term Facility B provided by SBU and SCB. USD 15 million and USD 5 million were designated as revolving credit facilities with Standard Chartered Bank and Stanbic Bank Uganda Limited, respectively.

On 9 December 2019, the facilities agreement was restated and amended as follows:

- By committing the following additional term facilities and extending the revolving credit facilities for financing working capital and capital expenditure:

	USD
Term facilities	
IFC - Facility C "A"	28,000,000
IFC - Facility C "B1"	10,000,000
Standard Chartered Bank – Facility D	16,000,000
Stanbic Bank – Facility D	16,000,000
	70,000,000
Revolving credit facilities	
Standard Chartered Bank	15,000,000
Stanbic Bank	5,000,000
	20,000,000
Total amount committed by the lenders	**90,000,000**

16. BORROWINGS (Continued)

Term and revolving credit facility agreement (Continued)

If Umeme procured the renewal of the Concession in accordance with the amended and restated borrowing agreement by the Concession Renewal Longstop Date, Umeme shall repay the aggregate Facility C and Facility D loans in semi-annual, that is, on 30 June and 31 December, instalments of 12.5% of the drawn down amount, starting 30 June 2021.

The Company had not procured the renewal of the Concession in accordance with the amended and restated borrowing agreement by the Concession Renewal Longstop Date, Umeme therefore shall repay the aggregate Facility C and Facility D loans in semi-annual, that is, on 30 June and 31 December, instalments of 16.67% of the drawn down amount, starting 30 June 2021, but with the last instalment being 16.65%. As the Concession Renewal Longstop Date was not procured by year-end, these repayment terms will continue to be applicable after the reporting period, unless if otherwise amended.

Modifying the repayment terms for the outstanding Facility A amounts to semi-annual, that is, on 30 June and 31 December, repayments of 6.67% of the drawn down amount but with the final instalment being 6.62%. Before the amendment of the borrowing agreement, Facility A was repayable in 15 semi-annual instalments of 6.7% of the total facility drawn down at the end of the availability period and 6.62% on the termination date (November 2023).

Modifying the repayment terms for the outstanding Facility B amounts to semi-annual repayments of 5.11% of the drawn down amount on 30 June and 31 December but with the final instalment being 5.12%. Before the amendment of the borrowing agreement, Facility B was repayable in 9 semi-annual instalments of 9% of the total facility drawn down at the end of the availability period and 28% on the termination date (November 2020).

Facilities A, B, C and D attract interest at LIBOR (applicable screen rate) plus a margin of 5% per annum. The revolving credit facilities other than those denominated in Ushs attract interest at LIBOR plus 7.8% per annum while the interest for those denominated in Ushs is the Uganda Government 182 days treasury bill rate plus 5.2% per annum. The Company's management will engage the lenders to agree the basis for the interest rates if and when LIBOR is discontinued. No significant changes in the Company's cost of borrowing are expected to arise from this.

The following were the applicable annual interest rates:

	2021	**2020**
Long term facilities		
Facility A	5.26%	6.14%
Facility B	5.26%	6.14%
Facility C	5.26%	6.14%
Facility D - Standard Chartered Bank	5.26%	6.14%
Facility D - Stanbic Bank	5.26%	6.14%
Revolving credit facilities		
Ushs	15.42%	15.331%
USD	8.033%	8.338%

The term and revolving credit facilities are secured against a first ranking fixed charge on all the Company's rights, title and interest from time to time and all related rights; and all contracts of insurance in respect of the Mandatory Insurances in which the Company has an interest and all moneys from time to time payable thereunder, and related rights.

16. BORROWINGS (Continued)

Term and revolving credit facility agreement (Continued)

The movement in the long-term facilities in USD was as follows:

	Unaudited 30 June 2021 USD'000			Audited 31 December 2020 USD'000		
	Facility A	Facility B	Total	Facility A	Facility B	Total
At 1 January	35,972	38,337	74,309	47,978	46,250	94,228
Interest accrued	951	1,013	1,964	2,829	2,844	5,673
Principal repayments	(6,003)	(6,387)	(12,390)	(12,006)	(7,913)	(19,919)
Interest repayments	(951)	(1,013)	(1,964)	(2,829)	(2,844)	(5,673)
At period/year end	**29,969**	**31,950**	**61,919**	**35,972**	**38,337**	**74,309**

	Unaudited 30 June 2021 USD'000			Audited 31 December 2020 USD'000		
	Facility C	Facility D	Total	Facility C	Facility D	Total
At 1 January	38,000	32,000	70,000	27,604	23,246	50,850
Drawdown	-	-	-	10,396	8,754	19,150
Interest accrued	1,004	846	1,850	1,936	1,631	3,567
Principal repayments	(6,334)	(5,334)	(11,668)	-	-	-
Interest repayments	(1,004)	(846)	(1,850)	(1,936)	(1,631)	(3,567)
At period/year end	**31,666**	**26,666**	**58,332**	**38,000**	**32,000**	**70,000**

As at period/year-end, the Company was compliant with the five ratios and covenants specified in the facilities agreement.

Other permitted financial indebtedness – dfcu Bank Limited and Stanbic Bank Uganda Limited

The six-month short-term revolving credit facility with dfcu Bank Limited of USD 10 million was repaid in 2020 and the Company did not roll forward the facility. Instead, the Company opted for overdraft facilities with dfcu Bank and SBU of USD 5 million and USD 15 million respectively as per the provisions in the facilities agreement on permitted financial indebtedness.

The dfcu Bank overdraft facility attracts interest at the 182 Treasury Bill rate plus a margin of 4% per annum for amounts drawn in Ushs while the SBU facility attracts interest at the 182 Treasury Bill rate plus a margin of 3.5% per annum for amounts drawn in Ushs or the 3 months LIBOR plus a margin of 3.5% for amounts drawn down in USD. The applicable interest rate for the Ushs facilities was 15.25% (2020: 14.43%). The applicable interest rate for the Stanbic Bank Uganda Limited Ushs facilities was 14.32% (2020: 13.93%) and for the USD facilities was 3.713% (2020: 3.723%).

The overdraft facilities are secured against a second ranking fixed charge on all the Company's rights, title and interest from time to time and all related rights; and all contracts of insurance in respect of the Mandatory Insurances in which the Company has an interest and all moneys from time to time payable thereunder, and related rights.

16. BORROWINGS (Continued)

Other permitted financial indebtedness – dfcu Bank Limited and Stanbic Bank Uganda Limited (Continued)

The following were the undrawn approved borrowing facilities as at period-end:

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
Revolving credit facilities		
Standard Chartered Bank Uganda Limited	53,386	17,146
Stanbic Bank Uganda Limited	20,571	36,409
dfcu Bank Limited	17,795	10,327
Total approved undrawn facilities	**91,752**	**63,882**

17. CONCESSION FINANCIAL OBLIGATION

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	329,283	327,570
Financing expense for the period/year	1,401	3,549
Foreign exchange gains	(8,268)	(1,836)
At period/year end	**322,416**	**329,283**
Maturity analysis of the concession obligation:		
Outstanding concession obligation	322,416	329,283
Less: Amount payable within one year	-	-
Non-current portion of concession obligation	**322,416**	**329,283**
The concession obligation is payable as analysed below:		
Within one year	-	-
Between one and two years	307,621	309,136
Between two and three years	10,279	10,144
Between three and four years	4,516	10,003
	322,416	**329,283**

On 1 March 2005, the Company took over the operation of the electricity power distribution network that was being operated by UEDCL under a 20-year concession arrangement.

The present value of the obligation arising from the rental payments under the concession agreements at the commencement of the concession was estimated to be USD 133 million (Ushs 473 billion at the current period end foreign exchange rate) using a discount rate of 8.911%. Interest is accrued annually to determine the amortised cost amount of the concession obligation as at period/year-end. The corresponding amount is recognised as a financial asset as disclosed in Note 12.

18. CONTRACT LIABILITIES

		Unaudited 30 June 2021	Audited 31 December 2020
Deferred revenue on prepaid sales	(a)	5,175	6,891
Deferred construction income	(b)	1,812	4,986
Deferred capital fund – Growth Factor Revenues	(c)	50,421	108,334
Deferred capital fund – Non-network assets	(d)	-	1,482
Deferred capital fund – LED bulbs	(e)	-	336
Deferred capital fund – Skills Development	(f)	145	150
Deferred capital fund – Customer Rebates and Meter Testing	(g)	10,094	10,353
Advance payments by energy customers	(h)	32,121	7,334
		99,768	**139,866**

(a) Deferred revenue on prepaid sales

Prepaid sales relate to sales to Government of Uganda Time of Use (GOU-TOU) arrangement and domestic customers through prepaid metering systems. The units paid for but not consumed by period end are determined basing on the customers' consumption patterns.

As at 30 June 2021, Ushs 3,634 million (2019: Ushs 5,366 million) sales to GOU-TOU had not been consumed while it was estimated that 3.9% of the pre-paid electricity tokens purchased by domestic customers had not been consumed (2020: 4.7%).

	Unaudited 30 June 2021			Audited 31 December 2020		
	GOU - TOU Ushs million	Domestic customers Ushs million	Total Ushs million	GOU – TOU Ushs million	Domestic customers Ushs million	Total Ushs million
At 1 January	5,366	1,525	6,891	3,356	2,156	5,512
Payments received	20,525	224,318	244,843	59,590	393,279	452,869
Amortised to revenue	(22,271)	(224,242)	(246,513)	(57,614)	(393,622)	(451,236)
Translation differences	14	(60)	(46)	34	(288)	(254)
At period/year end	**3,634**	**1,541**	**5,175**	**5,366**	**1,525**	**6,891**

The performance obligations relating to these contract liabilities are expected to be fulfilled in the subsequent reporting period.

(b) Deferred construction income

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	4,986	3,501
Amount received	18,268	6,250
Amount utilized	(21,429)	(4,841)
Translation differences	(13)	76
Unutilized customer contributions at period/year end	**1,812**	**4,986**

Deferred construction income relates to capital contributions from customers for new electricity service connections that are not yet utilised on asset construction works. The amounts paid by the customers for the construction expenses (''non-refundable capital contributions'' or ''NRCC'') are recognised as construction revenue when utilized.

18. CONTRACT LIABILITIES (Continued)

(c) Deferred capital fund – Growth Factor Revenues

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	108,334	106,605
Amount collected during the period/year	-	2,547
Amount utilised to offset revenue shortfall during the period/year	(54,445)	-
Amount utilised	(1,866)	(198)
Translation differences	(1,602)	(620)
At period/year end	**50,421**	**108,334**

As disclosed in Note 3(a), the amount as at period-end relates to the amount billed to and collected from customers for utilisation as approved by ERA, e.g., for funding construction of additions to the Distribution Network or tariff adjustment. The performance obligations will be fulfilled when ERA approves the utilisation of the amounts.

(d) Deferred capital fund – Non-network assets

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	1,482	4,907
Amount collected during the period/year	-	7,447
Amount utilised for purchasing non-network assets	(7,348)	(10,914)
Translation differences	22	42
At period/year end	**(5,844)**	**1,482**
Company funds used	5,844	-
Contract liabilities at period/year end	**-**	**1,482**

This relates to the amount billed and collected from customers for funding non-network assets but not yet utilised at period/year-end.

During the period, the Company acquired non-network assets worth Ushs 5,844 million over and above the funds available for the purpose. This amount was recognised, under other receivables, as recoverable from the amounts to be billed to and recovered from customers in subsequent periods.

(e) Deferred capital fund – LED bulbs

This relates to the amounts collected from customers to improve efficiency of the demand side energy through the use of LED bulbs but not yet utilised.

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	336	334
Amount utilised	(326)	-
Translation differences	(10)	2
At period/year end	**-**	**336**

18. CONTRACT LIABILITIES (Continued)

(f) Skills Development Program

This relates to funds received for the Skills Development Program within the Electricity Sector.

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	150	151
Translation differences	(5)	(1)
At period/year end	**145**	**150**

(g) Customer rebates and meter testing

This relates to the amounts collected from customers for use under the industrial rebates policy and meter testing.

	Unaudited 30 June 2021			Audited 31 December 2020		
	Customer rebates Ushs million	Meter testing Ushs million	Total Ushs million	Customer rebates Ushs million	Meter testing Ushs million	Total Ushs million
At 1 January	10,148	205	10,353	10,202	207	10,409
Translation differences	(254)	(5)	(259)	(54)	(2)	(56)
At period/year end	**9,894**	**200**	**10,094**	**10,148**	**205**	**10,353**

(h) Advance payments by energy customers

This relates to payments received from post-paid customers in advance of consuming the electricity paid for.

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
At 1 January	7,334	6,676
Amounts received	44,000	25,393
Amortised to revenue	(19,279)	(24,273)
Translation differences	66	(462)
At period/year end	**32,121**	**7,334**

19. TRADE AND OTHER PAYABLES

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
Trade payables	485,397	507,388
Other payables	23,077	10,433
Withholding tax payable	359	975
VAT payable	4,965	3,661
	513,798	**522,457**

Trade and other payables are non-interest bearing and normally settled on 30-60 days' terms. Trade payables include Ushs 417,190 million (2020: Ushs 396,755 million) due to UETCL. The balance of Ushs 68,207 million (2020: Ushs 110,633 million) is due to contractors and other service providers.

Other payables include an employee performance bonus accrual of Ushs 3,230 million (2020: Ushs 5,000 million). Ushs 7,220 million was paid during the year (2020: Ushs 11,640 million).

20. BANK OVERDRAFTS

	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
Standard Chartered Bank (SCB)	21,408	37,610
Stanbic Bank Uganda Limited (SBU)	50,610	36,600
dfcu Bank Limited (dfcu)	-	7,925
Less: Deferred transactions costs	(46)	(120)
	71,972	**82,015**
Deferred transaction costs		
At 1 January	120	242
Amortisation for the period/year	(74)	(122)
At period/year end	**46**	**120**

As at period-end, the Company had drawn down USD 20 million (2020: USD 23 million) from Standard Chartered Bank, Stanbic Bank and dfcu Bank under the revolving credit facilities and permitted indebtedness as disclosed in Note 16.

21. DISTRIBUTIONS TO SHAREHOLDERS MADE AND PROPOSED

	Unaudited 30 June 2021		Audited 31 December 2020	
	Dividend per share Ushs	Total Ushs million	Dividend per share Ushs	Total Ushs million
Dividend paid				
Interim dividend paid	-	-	-	-
Final dividend paid	-	-	41.34	67,131
	-	**-**	**41.34**	**67,131**
Dividend proposed				
Interim dividend	-	-	-	-
Final dividend	-	-	12.2	19,807
	-	**-**	**12.2**	**19,807**

The Company is required to withhold tax on the dividend payments in accordance with the tax laws of Uganda and remit the amounts withheld to Uganda Revenue Authority.

22. CASH AND CASH EQUIVALENTS

	Unaudited 30 June 2021 Ushs million	Unaudited 30 June 2020 Ushs million
Bank balances	43,867	28,272
Bank overdrafts	(71,972)	(95,471)
Bank balances not available for use	(484)	(504)
	(28,589)	**(67,703)**

ERA issued guidelines that require the Company to ring-fence and invest the cash held in respect to customer security deposits from any other funds of the Company. The guidelines were effective from 1 January 2011. Consequently, bank balances representing the carrying amount of the customer security deposits are not available for use in the Company's operations.

23. LETTERS OF CREDIT

As at period-end, the Company had letters of credit facilities with Standard Chartered Bank Uganda Limited (the ''bank''). The letters of credit facilitate the purchase and importation of equipment and inventories for the repair, upgrading and expansion of the Distribution Network and related electricity distribution accessories. The Company may be required to deposit amounts with the bank to act as collateral for the active letters of credit to facilitate the purchase and importation of partially delivered goods. There are no balances deposited as cash cover under the letters of credit facilities as at period-end (31 December 2020: Nil).

As at period-end, the Company also had letters of credit with the bank amounting to Ushs 1,168 million (31 December 2020: Ushs 12,516 million) with no cash cover. These are covered by the goods under importation and insurance.

24. FINANCIAL INSTRUMENTS

The Company's financial instruments are categorised as follows:

Financial assets	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
Debt instruments at amortised cost		
Buy out amount	1,047,872	1,016,856
Concession financial asset	322,416	329,283
Non-current	**1,370,288**	**1,346,139**
Trade and other receivables	214,676	218,402
Bank balances	43,867	30,022
Current	**258,543**	**248,424**
Total financial assets	**1,628,831**	**1,594,563**

Financial liabilities	Unaudited 30 June 2021 Ushs million	Audited 31 December 2020 Ushs million
Financial liabilities at amortised cost		
Borrowings	421,715	517,104
Concession obligation	322,416	329,283
Customer security deposits	484	496
Accrued expenses	47,546	53,931
Trade and other payables	505,244	512,820
Bank overdrafts	71,972	82,015
	1,369,377	**1,495,649**
Current	796,490	824,902
Non-current	572,887	670,747
	1,369,377	**1,495,649**

25. SHAREHOLDING

a) Shareholding

		Unaudited 30 June 2021		Audited 31 December 2020	
	Name	**Number of shares**	**Percentage shareholding**	**Number of shares**	**Percentage shareholding**
1	National Social Security Fund	378,933,288	23.34%	378,933,288	23.34%
2	Allan Gray	240,654,523	14.82%	240,654,523	14.82%
3	Kimberlite Frontier Africa Master Fund	144,564,483	8.90%	144,564,483	8.90%
4	Utilico Emerging Markets Limited	135,900,000	8.37%	135,900,000	8.37%
5	Imara S P Reid (Pty) Ltd	85,859,669	5.29%	84,671,509	5.21%
6	Investec Asset Management Africa	60,165,040	3.71%	60,165,040	3.71%
7	Coronation Global Opportunities Fund	51,464,343	3.17%	41,728,070	2.57%
8	International Finance Corporation	45,220,900	2.78%	45,220,900	2.78%
9	Duet Fund	39,796,024	2.45%	39,796,024	2.45%
10	Conrad and Hilton Foundation	31,327,420	1.93%	31,327,420	1.93%
11	Others	409,992,315	25.25%	420,916,748	25.92%
		1,623,878,005	**100.00%**	**1,623,878,005**	**100.00%**

b) Spread of issued shares as at 30 June 2021

Shareholding (number of shares)	Number of shareholders	Number of shares held	Percentage shareholding
Less than 500 shares	843	167,028	0.01%
500 - 5,000 shares	3,056	5,686,434	0.35%
5,001 – 10,000 shares	621	4,854,236	0.30%
10,001 – 100,000 shares	1,050	31,088,590	1.91%
100,001 - 1,000,000 shares	375	95,548,885	5.88%
Above 1,000,000 shares	79	1,486,532,832	91.55%
	6,024	**1,623,878,005**	**100.00%**

26. EARNINGS BEFORE INTEREST, TAXATION, DEPRECIATION AND AMORTISATION (EBITDA)

The Company uses EBITDA as one of its alternative performance measures. For this purpose, EBITDA is determined as operating profit before amortisation, impairment of intangible assets, interest and tax as adjusted to exclude foreign exchange losses.

	Unaudited 30 June 2021		Unaudited 30 June 2020	
	Ushs million	**USD'000**	**Ushs million**	**USD'000**
Operating profit before amortisation	160,448	42,860	116,470	31,952
Foreign exchange losses	13,295	5,007	4,849	426
EBITDA	**173,743**	**47,867**	**121,319**	**32,378**

27. CONTINGENT LIABILITIES

a) Legal claims

The Company is a defendant in various legal actions arising in the normal course of business. The Company has been advised by its external Legal Counsels that it is only possible but not probable that cases with claims amounting to Ushs 3,4 billion (2020: Ushs 2.9 billion) could be decided against the Company. Accordingly, no provision for liabilities relating to these cases has been made in these financial statements. The Company continues to defend itself against these actions and therefore it is not practical to reasonably determine the timing of the contingent liabilities.

b) Tax disputes

Tax treatment of the Company's investments in the Distribution Network
Uganda Revenue Authority (URA) conducted a tax audit during 2018. URA noted that all investments in the Distribution Network (concession assets) accounted for under concession accounting (IFRIC 12) for the purpose of the statutory financial statements prepared in accordance with IFRS should have been treated as intangible assets on adoption of IFRIC 12 in 2008 for purposes of determining taxable income, and that the Company is not entitled to tax depreciation allowances computed on the basis that the assets are tangible assets for income tax purposes. URA did not issue a tax assessment with respect to this matter as the Company had sought Court interpretation on the same. URA, however, issued a specific assessment indicating that for the years 2013 to 2016, the Company underpaid income tax as a result of utilisation of tax losses carried forward and utilisation of tax credits on the basis of the Company's tax treatment of the assets as tangible assets for which tax depreciation allowances should be considered when determining taxable income. The assessed amount was Ushs 9.2 billion and Ushs 4.2 billion as principal tax, interest and penalties arising from carrying forward tax losses and utilisation of tax credits, respectively.

The Company objected to this assessment on the following basis, which is similar to that applied in the treatment of concession assets:

- Based on the Income Tax Act, Cap 340 (ITA), URA should use specific principles of taxation for purposes of determining taxable income and not just IFRS as the sole basis for determination of taxable income.

- URA has previously provided a private ruling to another concessionaire giving them the right to claim tax depreciation allowances on concession assets. The Company's tax treatment of concession assets should be consistent with other tax payers operating under concession arrangements.

- The Company's concession agreement conferred to Umeme the right to claim capital allowances for investments in the Distribution Network.

- The tax losses and tax credits that the Company utilised are directly related to Umeme's tax treatment of its capital investments and were utilised in accordance with the ITA.

In 2020, the Tax Tribunal ruled in favour of the Company. However, UEDCL exercised its right to appeal in the High Court and the matter is pending hearing.

The directors believe, based on consultation with the Company's tax consultants and legal counsel, that there is a reasonably good chance that this matter will be determined in the Company's favour. The 2015 consent judgement relating to the years up to 2012 between Umeme and URA in respect to this matter did not remove the rights of either party with regards to the tax treatment of the concession assets.

Interest and penalties relating to the 2016 restatement of revenue
URA issued an assessment on the basis that the restatement of the Company's 2016 financial statements to correct the lifeline surcharge revenue meant that income tax had been understated in the respective year by Ushs 9.48 billion. Consequently, the Company was liable to late payment interest and penalties amounting to Ushs 2 billion and Ushs 1.2 billion, respectively.

27. CONTINGENT LIABILITIES (Continued)

The Company accrued for the assessed principal tax in the 2016 restated financial statements and paid the amount to URA in 2018. The Company disputes and has objected to the interest and penalties on the following basis:

- Although the under provision of the lifeline surcharge revenue resulted in a restatement of the Company's 2016 financial statements as the Company was deemed entitled to the income for financial reporting purposes, the income relating to this under provision was not taxable in 2016 as at this time, the under recovery was not known to both the Company and ERA. The income became taxable when ERA actually included the amounts in the 2018 tariff for the Company to bill and collect. This is based on interpretation of Section 42 of the ITA as elaborated below.

  For income tax purposes, Section 42(2) of the ITA provides that:

  "42. Accrual-Basis Taxpayer:

  1. *A taxpayer who is accounting for tax purposes on an accrual basis –*

     a) *derives income when it is receivable by the taxpayer; and*
     b) *incurs expenditure when it is payable by the taxpayer.*

  2. *Subject to the ITA, an amount is receivable by a taxpayer when the taxpayer becomes entitled to receive it, even if the time for discharge of the entitlement is postponed or the entitlement is payable by instalments."*

The directors believe, basing on consultation with the Company's tax consultants and legal counsel, that there is a reasonably good chance that this matter will be determined in the Company's favour.

28. RELATED PARTY DISCLOSURES

Directors' interests

Some directors held, directly, an interest in the Company's ordinary issued share capital as indicated in the table below:

Director	Number of shares	% of shareholding	Number of shares	% of shareholding
	Unaudited		Audited	
	30 June 2021		31 December 2020	
Selestino Babungi	3,900,000	0.24%	3,900,000	0.24%
Patrick Bitature	2,011,100	0.12%	2,011,100	0.12%
Florence N. Nsubuga	1,260,000	0.08%	1,260,000	0.08%
Hon. Gerald Ssendaula	586,800	0.04%	586,800	0.04%

Compensation for key management personnel

	Unaudited	Unaudited
	6 months ended	
	30 June 2021 Ushs million	30 June 2020 Ushs million
Directors' emoluments and expenses	1,379	1,319
Contributions to NSSF	387	426
Short term employee benefits	3,457	3,139
Long term incentive benefits and other bonuses	1,371	1,870

The amounts disclosed in the table are the amounts recognised as an expense during the reporting period related to key management personnel. The non-executive directors do not receive pension entitlements from the Company.

29. CAPITAL COMMITMENTS

As at period-end, the Company had capital commitments of Ushs 48,914 million (30 June 2020: Ushs 250,267 million) relating to upgrading and expansion of the distribution network.

30. FAIR VALUE MEASUREMENT

The Company has no assets and liabilities for which the carrying amount is based on fair value. For fair value disclosure purposes, management has evaluated that, except for the assets and liabilities presented in the table below, the fair values of the Company's financial assets and liabilities reasonably approximate their carrying amounts due to the short-term maturities of the financial instruments or because the interest rates applicable to long-term financial instruments approximate the prevailing market interest rates.

	Unaudited 30 June 2021		Audited 31 December 2020	
	Carrying amount Ushs million	Fair value Ushs million	Carrying amount Ushs million	Fair value Ushs million
Other financial asset: Buy out	1,047,872	1,678,517	1,016,856	1,759,177
Concession financial asset	322,416	315,292	329,283	330,118
Concession financial obligation	322,416	315,292	329,283	330,118

The fair value of the above instruments is determined using the discounting of cash flows method by applying discount rates that reflect directly or indirectly observable market interest rates for similar instruments. The instruments are therefore categorised under Level 2 of the fair value measurement hierarchy. There were no transfers into and out of this fair value measurement hierarchy.

The own non-performance risk regarding the financial liabilities was assessed to be insignificant.

The significant inputs used in the fair value measurements together with a quantitative sensitivity analysis are shown below:

Item	Inputs	Inputs applied		Sensitivity of input to fair value		
		2021	2020	Change in input	2021	2020
					Ushs million	
Other financial asset	USD equivalent market yield on GOU treasury bonds with similar term	6.90%	6.67%	+-0.1%	5,200	6,443
Concession financial asset	Market interest rate for term loans with similar term	6.82%	6.58%	+-0.1%	11	7
Concession obligation		6.82%	6.58%	+-0.1%	11	7

31. COVID-19 PANDEMIC

The World Health Organisation (WHO) declared COVID-19 a pandemic in 2020. On 18 March 2020, the Government of Uganda announced lockdown and restrictions as a counter-measure against the spreading of Covid-19. By period-end, another lockdown had been instituted on 18 June 2021 to curb the second wave of the surge of infections and related deaths. As the Company is an essential service provider, operations continued during the lock down period but with some the general restrictions arising from the local and global disruptions caused by the pandemic. These include market, services and supply chain disruptions, non-performance by counter parties, unavailability of key people resources, inability to access some locations, among others. Consequently, the Company's financial performance was impacted in the month of June as noted below:

- Decrease in revenue from sale of electricity with the daily average sales reducing by approximately 4% after the lockdown. This was mainly because businesses deemed not to be essential service providers were closed during the lock period.

31. COVID-19 PANDEMIC (CONTINUED)

- Limitations in implementing the power loss reduction activities due to limitations on movements leading to increase in power losses from 17.1% in May 2021 to 18.4%in June 2021.

- Decrease in cash collections rates from 99.9% for the five months ended May 2021 to 94.8% in the month of June 2021 due to limitations in implementing cash collection strategies.

The COVID-19 pandemic continued to affect the Company, the Country and businesses at the time of issuing these interim condensed financial statements. The directors expect that considering that the Company is an essential service provider, the Company's operations will continue despite the disruption caused by the pandemic. The directors have also assessed that:

- No adjusting events or conditions existed at the time of issuing the interim condensed financial statements.

- The going concern status of the Company will not be affected by this event and the Company will continue to operate as a going concern. The Company's management and directors are closely monitoring the economic developments in the key markets and sectors including undertaking scenario analysis. This enables the Company's management and directors to take appropriate actions where necessary, including enhanced monitoring, amending the Company's risk appetite and/or reducing limits and exposures.

- The impact of the supply chain disruptions will be mitigated by proactive and dynamic inventory management to ensure that there is enough stock of materials to support the capital expenditure and network maintenance programs.

- Customer credit risk is not expected to increase further. Management will continue to closely monitor customer segments to ensure that exposures are mitigated.

- There are no conditions that would warrant impairment of non-financial assets. There are no significant financial assets measured at fair values that would materially impact the performance of the Company.

It is reasonably possible, based on existing knowledge, that outcomes within the next financial period that are different from the judgements and assumptions used, could require a material adjustment to the carrying amounts of the assets or liabilities reported in these interim condensed financial statements. The directors and management will continue to monitor the measures taken by the Government of Uganda and adjust the Company's business strategies and plans accordingly.

32. EVENTS AFTER THE REPORTING PERIOD

Refer to Note 31 regarding the Covid-19 pandemic.

There are no other events after the reporting period which require adjustment to or disclosure in these interim condensed financial statements.

MEMORANDUM FINANCIAL INFORMATION IN US DOLLARS

The directors determined that the Company's functional currency is USD effective from 1 January 2015. The statutory financial statements are presented in Ushs to meet the expectations of the key users of the financial statements. However, to meet the needs of certain users of the financial statements, memorandum financial information in USD is presented. The memorandum financial information comprises the statement of profit or loss, statement of financial position, statement of changes in equity and statement of cash flows.

BASIS OF TRANSLATION

The translation from foreign currencies to functional currency is done in accordance with the Company's accounting policy as disclosed in Note 2 (b) to the latest audited financial statements. The foreign exchange rates applied were as follows:

	30 June 2021	**30 June 2020**	**31 December 2020**
Average rate	3,650	3,747	3,724
Period-end rate	3,559	3,735	3,650
Source: Bank of Uganda			

STATEMENT OF PROFIT OR LOSS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

	6 months ended 30 June 2021 USD '000	6 months ended 30 June 2020 USD '000
Revenue from contracts with customers	255,634	226,537
Cost of sales	(173,379)	(164,604)
GROSS PROFIT	**82,255**	**61,933**
Repair and maintenance expenses	(8,052)	(5,760)
Administration expenses	(25,872)	(23,529)
Foreign exchange gains	(5,007)	(426)
Increase in expected credit losses	(464)	(266)
OPERATING PROFIT BEFORE AMORTISATION	**42,860**	**31,952**
Amortisation of intangible assets	(21,509)	(17,941)
OPERATING PROFIT	**21,351**	**14,011**
Finance income	2,708	2,595
Finance costs	(6,228)	(7,130)
PROFIT BEFORE TAX	**17,831**	**9,476**
Income tax expense	(5,884)	(2,800)
PROFIT FOR THE PERIOD	**11,947**	**6,676**
	USD	**USD**
BASIC AND DILUTED EARNINGS PER SHARE	**0.007**	**0.004**

STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2021

	30 June 2021 USD '000	31 December 2020 USD '000
ASSETS		
Non-current assets		
Intangible assets	194,371	215,773
Other financial asset: Buy out amount	294,423	278,558
Concession financial asset	90,590	90,204
	579,384	**584,535**
Current assets		
Inventories	25,800	28,106
Contract assets	10,634	25,047
Current income tax recoverable	8,971	11,269
Trade and other receivables	60,318	59,830
Prepayments	8,460	13,051
Bank balances	12,325	8,224
	126,508	**145,527**
TOTAL ASSETS	**705,892**	**730,062**
EQUITY AND LIABILITIES		
Equity		
Issued capital	8,217	8,217
Share premium	20,815	20,815
Retained earnings	197,382	191,000
	226,414	**220,032**
Non-current liabilities		
Borrowings: Non-current portion	70,375	93,541
Concession obligation	90,590	90,204
Long term incentive plan	16	16
Deferred tax liability	63,911	58,981
	224,892	**242,742**
Current liabilities		
Borrowings: current portion	48,115	48,115
Customer security deposits	136	136
Contract liabilities	28,032	38,315
Accrued expenses	13,359	14,774
Provisions	359	359
Trade and other payables	144,363	143,122
Bank overdrafts	20,222	22,467
	254,586	**267,288**
TOTAL EQUITY AND LIABILITIES	**705,892**	**730,062**

STATEMENT OF CHANGES IN EQUITY FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

	Issued capital USD '000	Share premium USD '000	Retained earnings USD '000	Total equity USD'000
At 1 January 2020	**8,217**	**20,815**	**198,071**	**227,103**
Profit for the period	-	-	6,676	6,676
Other comprehensive loss, net of tax	-	-	-	-
Total other comprehensive income, net of tax			**6,676**	**6,676**
At 30 June 2020	**8,217**	**20,815**	**204,747**	**233,779**
At 1 January 2021	**8,217**	**20,815**	**191,000**	**220,032**
Profit for the period	-	-	11,947	11,947
Other comprehensive loss, net of tax	-	-	-	-
Total other comprehensive income, net of tax			**11,947**	**11,947**
Dividend declared	-	-	(5,565)	(5,565)
At 30 June 2021	**8,217**	**20,815**	**197,382**	**226,414**

MEMORANDUM FINANCIAL INFORMATION IN US DOLLARS

STATEMENT OF CASH FLOWS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

	6 months ended 30 June 2021	6 months ended 30 June 2020
Profit before tax	17,831	9,476
Adjustment for non-cash items:		
Amortisation of intangible assets	19,750	17,228
Write off of intangible assets	1,759	713
Interest on bank deposits	(26)	(100)
Finance income on other financial asset	(2,296)	(1,980)
Finance income on concession financial asset	(386)	(515)
Finance cost on concession obligation	386	515
Other financing costs	1,109	630
Expected credit losses on trade and other receivables	464	266
Interest expense on long and short-term borrowings	3,814	5,396
Amortisation of deferred transaction costs on borrowings	892	567
Cash flows before working capital changes	**43,297**	**32,196**
Changes in working capital items:		
Decrease/(increase) in inventories	2,306	(5,647)
Decrease/(increase) in contract assets	14,413	(4,522)
Increase in trade and other receivables	(952)	(6,389)
Decrease/(increase) in prepayments	4,591	(15,251)
(Decrease)/increase in contract liabilities	(10,283)	2,017
Decrease in accrued expenses	(1,415)	(597)
(Decrease)/increase in trade and other payables	(4,324)	11,425
Cash generated from operating activities	**47,633**	**13,232**
Interest received from banks	26	100
Interest paid on long and short-term borrowings	(3,814)	(5,856)
Other financing costs paid	(1,109)	(630)
Borrowing transaction costs paid	-	(282)
Net cash flows from operating activities	**42,736**	**6,564**
Investing activities		
Purchase of intangible assets	(13,676)	(20,747)
Net cash flows used in investing activities	**(13,676)**	**(20,747)**
Financing activities		
Repayment of principal on long term borrowing facilities	(24,058)	(7,527)
Repayment of principal on short term borrowing facilities	-	(9,814)
Net cash flows from financing activities	**(24,058)**	**(17,341)**
Net increase/(decrease) in cash and cash equivalents	**5,002**	**(31,524)**
Cash and cash equivalents at 1 January	(14,379)	14,267
Foreign exchange differences	1,344	(868)
Cash and cash equivalent 30 June	**(8,033)**	**(18,125)**